

FORM TP 2015124



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MAY/JUNE 2015

CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

ACCOUNTING

UNIT 1 – Paper 02

2 hours and 45 minutes

22 MAY 2015 (a.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper comprises THREE questions.
2. EACH question is worth 35 marks.
3. ALL questions are COMPULSORY.
4. Begin EACH answer on a new page.
5. You may use a silent, non-programmable calculator to answer questions.
6. ALL working must be clearly shown.

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02101020/CAPE 2015



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1. B. Ross started operations on 1 June 2014 with a motor car purchased three years ago for \$120 000. The latest valuation estimated the worth of the car at \$75 000. On the same day, B. Ross opened a chequing account at a local bank with \$20 000, \$15 000 of which was proceeds of a loan from M. Brown.

After the first six months of operations, B. Ross recorded drawings of \$17 300 and a loss of \$21 500.

- (a) State the meaning of the following accounting concepts:

(i) Historical cost [2 marks]

(ii) Prudence [2 marks]

- (b) What amount should B. Ross record for the motor car in the books of the business? [2 marks]

- (c) Identify and explain the concept which allows B. Ross to record the motor car invested in the business as a non-current asset. [4 marks]

- (d) Show the journal entries required to record the formation of B. Ross' business on 1 June 2014. [6 marks]

- (e) Show the closing entries to record the loss and the drawings for the period. [3 marks]

- (f) The management of B. Ross intends to operate in a paperless environment and hires a trainee accountant. Within the first week on the job, the trainee accountant is seen to be consistently using Blackberry Messenger while working. In addition, the trainee occasionally logs on to Facebook using the computer on which financial information is stored.

Outline THREE controls that the management can implement to ensure the integrity of its accounting records. [6 marks]

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- (g) **Using Table 1 provided as an insert**, show the effect of EACH of the following transactions in the Cash Book and Statement of Comprehensive Income of BisNess Ltd for the year ended 30 June 2014, if the accruals basis of accounting is used. One example has been done for you on the insert.

- (i) Paid rent of \$12 000 for six months ending 30 September 2014.
- (ii) Bad debts of \$1 500 written off during the accounting year.
- (iii) Fixtures purchased for \$74 000 on 2 July 2013 by cheque.
- (iv) Depreciation on fixtures purchased on 2 July 2013 is charged at a rate of 15% using the straight line method.
- (v) Invoice for electricity amounting to \$3 700 for the month of June 2014 not received nor paid.

[10 marks]

Total 35 marks

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Question No. 1 (g) (i–v)

Candidate No.

**TABLE 1: EFFECTS OF TRANSACTIONS ON CASH BOOK
AND STATEMENT OF COMPREHENSIVE INCOME**

	Transaction	Cash Book	Statement of Comprehensive Income
Example	Paid a monthly salary of \$10 500 to an employee who quit on 31 December 2014	Decrease by \$10 500	Expense of \$10 500
(i)	Paid rent of \$12 000 for six months ending 30 September 2014		
(ii)	Bad debts of \$1 500 written off during the accounting year		
(iii)	Fixtures purchased for \$74 000 on 2 July 2013 by cheque		
(iv)	Depreciation on fixtures purchased on 2 July 2013 is charged at a rate of 15% using the straight line method		
(v)	Invoice for electricity amounting to \$3 700 for the month of June 2014 not received nor paid		

[10 marks]**TO BE ATTACHED TO YOUR ANSWER BOOKLET**

2. (a) Amar and Mohan are equal partners in a retail clothing business. They each contributed \$240 000. Afterwards, it was agreed that Lee should join the partnership with all three partners sharing profits equally. For the purpose of admitting the new partner, the goodwill in the business was valued at \$180 000. Goodwill is not to be maintained in the accounts. Lee brought in cash of \$160 000 into the business.

Prepare the capital accounts of the partnership showing clearly the adjusted balances after the admission of the new partner. **[11 marks]**

- (b) Distinguish between 'corporations' and 'co-operatives' in terms of the following characteristics:

- (i) Transferability of ownership interest
- (ii) Voting rights
- (iii) Purpose
- (iv) Legislation

[8 marks]

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- (c) An extract of the adjusted Trial Balance for Point Dex Ltd as at 31 May 2014 is provided below.

	\$ 000
Sales	750 000
Inventory (31 May 2014)	145 300
Gross purchases	345 700
Returns outwards	34 100
Discounts received	1 700
Allowance for doubtful accounts	4 500
Accounts receivable	105 000
Accounts payable	79 750
Property, plant and equipment at cost	1 375 400
Accumulated depreciation	466 800
Selling and distribution cost	125 435
Investment in Aral Ltd	350 000
Investment income	35 000
Depreciation charge	101 000
Administrative cost	234 195
Research cost	15 670
Inventory (1 June 2013)	77 400
Tax payable	7 500
15% loan (2025)	735 000
General reserve	1 500
Dividends paid	670 000
Retained earnings	825 760

Additional notes:

- Point Dex Ltd depreciates all assets at a rate of 10% per annum using the reducing balance method. Depreciation is normally allocated at 40% to distribution and 60% to administration.
 - Corporation tax is 25%.
- (i) Prepare a Statement of Comprehensive Income for Point Dex Ltd for the year ended 31 May 2014. **[11 marks]**
- (ii) Identify the figures to be included in
- a) Current assets
 - b) Current liabilities

which would appear in the Statement of Financial Position as at 31 May 2014. **[5 marks]**

Total 35 marks

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3. The financial statements for Sisco Ltd for the income year to 30 June 2012 are given below.

Statement of Comprehensive Income

	\$ 000	\$ 000
Revenue		17 234
Cost of sale		(11 930)
Gross profit		5 304
Operating expense	3 218	
Loss on sale of NCA	30	
		(3 248)
		2 057
Interest on loan		48
Profit before tax		2 009
Tax		(1 110)
Profit for the period		899

Statement of Financial Position

	\$ 000	\$ 000
Non-current asset		
Property, plant and equipment		6 181.50
Current assets		
Inventory at close	560	
Accounts receivable	1 540	
Bank	1 216	
Total current assets		3 316
Total assets		9 497.50
Equity and liability		
Equity		
Ordinary share \$1		4 250
Share premium		400
Retained earnings		77.50
Total equity		4 727.50
Non-current liability		
6% loan		1 620
Current liability		
Trade payables	1 980	
Accruals	1 170	
		3 150
		9 497.50

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- (a) Prepare common size statements for Sisco Ltd. From these, prepare a report to analyse the performance of the company. Your report should focus on liquidity and profitability by using at least TWO ratios in EACH category. **Calculate ratios to two decimal places.**
[14 marks]

HINT: You may use the following formulae:

$$\text{Gross profit margin} = \frac{\text{Gross profit}}{\text{Sales revenue}} \times 100$$

$$\text{Net profit margin} = \frac{\text{Net profit before interest and tax}}{\text{Sales revenue}} \times 100$$

$$\text{Return on capital employed} = \frac{\text{Operating profit}}{\text{Capital employed}} \times 100$$

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

$$\text{Acid test (quick ratio)} = \frac{\text{Current assets} - \text{stock}}{\text{Current liabilities}}$$

- (b) List THREE limitations of ratio analysis. [3 marks]
- (c) Section 32 of the IFRS for SMEs defines Events after the End of Reporting Period as 'any event that provides evidence of conditions that existed at the end of the reporting period'.
- (i) Outline TWO examples of events that would be disclosed in the financial statements as required by Section 32. [4 marks]
- (ii) Explain the meaning of 'conditions that existed at the end of the reporting period' and give ONE example. [4 marks]

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- (d) (i) List THREE duties of the receiver in a bankruptcy situation. **[3 marks]**
- (ii) In dealing with the claims of an insolvent business, the liquidator must first pay any outstanding National Insurance/Social Security funds which had been withheld from wages, followed by claims of secured creditors, claims of partly secured creditors and lastly unsecured claims, before dealing with shareholders. The list falls into three categories shown in the headings in Table 2 below.

Copy Table 2 into your answer booklet. Complete the table to show how items a) to g) should be classified.

- a) Unsecured bank loan.
- b) Accounts receivable of \$40 000 has been pledged as security for a note payable of \$120 000.
- c) Wages and salaries payable.
- d) Robin has used her shares in The Cable Inc. valued at \$75 000 as security for a business loan of \$75 000.
- e) The utility bill for the Water Authority.
- f) Davis' Garage has a charge on a car owned by Philip Patel as a result of a high court judgement.
- g) Accounts payable.

TABLE 2

Secured Claims	Partly Secured Claims	Unsecured Claims

[7 marks]

Total 35 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.